

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)	RM26-4-000
Transmission System)	

**INITIAL COMMENTS OF
THE NEW MEXICO PUBLIC REGULATION COMMISSION**

On October 23, 2025, pursuant to Section 403 of the Department of Energy Organization Act, the Secretary of Energy (“Secretary”) issued a directive to the Federal Energy Regulatory Commission (“FERC” or “the Commission”) to initiate an advanced notice of proposed rulemaking (“ANOPR”) for consideration and final action. The ANOPR focuses on reforms to the interconnection processes for large loads connecting to the transmission system. The Commission subsequently issued a Notice Inviting Comments on October 27, 2025. The New Mexico Public Regulation Commission’s comments are as follows:

I. Service and Communication

All pleadings, correspondence and other communications related to this proceeding should be directed to:

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II. Background

The New Mexico Public Regulation Commission (“NMPRC”) is the constitutionally established regulatory body responsible for overseeing public utilities and transmission access within the State of New Mexico.¹ The NMPRC is responsible for regulating and overseeing every

¹ N.M. Const. art. XI, §§ 1-2.

public utility in respect to its rates and service regulations.² Because the proposed rulemaking would establish standardized interconnection procedures and agreements for new loads and hybrid facilities greater than 20 MW—including those directly interconnected to the transmission system—this proceeding directly affects the NMPRC’s jurisdictional utilities, its ratepayers, and New Mexico’s energy planning and reliability responsibilities. The NMPRC therefore has a substantial interest in ensuring that any final rule appropriately balances reliability, cost allocation, and coordination between federal and state jurisdiction, and appreciates the opportunity to comment on the ANOPR.

III. Summary of Comments

The NMPRC supports the Commission’s efforts to provide transparent, standardized, and efficient interconnection procedures for large loads and hybrid facilities on the transmission system. However, the NMPRC seeks to ensure that the rulemaking adequately accounts for coordination with state regulatory processes and considers direct and indirect impacts to the NMPRC’s authority over retail rates and cost recovery from retail customers in New Mexico. The State of New Mexico has directed the NMPRC to prioritize affordable and reliable service and continue to implement the Energy Transition Act³ and to enforce Renewable Portfolio Standards. Accordingly, federal intervention raises complex legal and technical issues. FERC should narrowly tailor its final rule to ensure continuation of state priorities and should look for comprehensive ways to enact a cooperative approach to interconnection of large loads that comport with the state’s own legislative and constitutional directives.

² NMSA 1978 § 62-6-4(A) (“The [NMPRC] shall have general and exclusive power and jurisdiction to regulate and supervise every public utility in respect to its rates and service regulations and in respect to its securities, all in accordance with the provisions and subject to the reservations of the Public Utility Act and to do all things necessary and convenient in the exercise of its power and jurisdiction.”)

³ NMSA 1978 §§ 62-18-1 through 23.

IV. Comments of the New Mexico PRC

A. FERC should not infringe on a state's authority to regulate and supervise retail electricity sales.

FERC has consistently contended that the Federal Power Act creates two separate, exclusive spheres of authority: FERC regulates wholesale sales of electricity and interstate transmission, while states retain exclusive control over retail sales, retail rate design, and the siting and operation of generation and distribution facilities. In co-location arrangements, states decide who may serve retail load and how wholesale costs are recovered in retail rates, regardless of where the load physically connects. FERC's jurisdiction applies only when a generator makes wholesale sales in interstate commerce or when interstate transmission service is used.⁴

This allocation of authority aligns with longstanding New Mexico law, in which the Legislature has charged the NMPRC with providing safe, reliable, and affordable retail service; overseeing resource adequacy and planning; ensuring prudent utility investment; and implementing major state energy policies, including the Energy Transition Act⁵, Grid Modernization Act⁶, and Renewable Energy Act.⁷

As FERC explained, states retain exclusive authority over retail sales, including retail rate design and the allocation of costs among retail customers. States alone determine which entities may sell power at retail and the rates, terms, and conditions of those retail sales. These state powers apply regardless of how or where a load physically connects—whether at the distribution system, the transmission system, or directly to a generator. States also possess exclusive authority to

⁴ *PJM Interconnection, L.L.C. et al*, 190 FERC ¶ 61,115 (F.E.R.C. 2025).

⁵ NMSA 1978 §§ 62-18-1 through 23.

⁶ NMSA 1978, § 62-8-13.

⁷ NMSA 1978, §§ 62-16-1 through 10.

determine which generating resources may be sited and operated, including for purposes of serving co-located load in New Mexico; nothing in a federal rule may override or diminish these powers.⁸

In New Mexico, these jurisdictional protections serve critical legislative and policy objectives. The Legislature has entrusted the NMPRC with responsibility for ensuring that retail rates remain affordable, that electric service is reliable, and that resource decisions align with state statutes. A federal rule that interferes with state authority over resource planning, siting, or economic development decisions would undermine the Legislature’s design and the NMPRC’s statutory duties. FERC cannot require New Mexico ratepayers to finance new generation or infrastructure that has not gone through New Mexico’s planning and approval requirements, whether initiated through the IRP process, certificate proceedings, or any of the other regulatory pathways the NMPRC uses to review and approve new resources. The NMPRC is concerned that if FERC assumes jurisdiction over approving new large loads, those interconnections could be approved without any proceeding to evaluate their associated costs, depriving the NMPRC of its ability to regulate interconnecting customers and determine how associated generation and transmission costs should be allocated to New Mexico ratepayers.

As New Mexico—like other states—confronts rising wholesale and retail electricity costs, the protection of state jurisdiction is essential to preventing retail customers from subsidizing large-load customers or bearing unplanned risks. FERC should ensure that any final rule respects the FPA’s jurisdictional boundary and preserves New Mexico’s sovereign authority to regulate retail service, resource decisions, and economic development consistent with state law and legislative priorities.

⁸ *Oneok, Inc. v. Learjet, Inc.*, 575 U.S. 373, 373, 135 S. Ct. 1591, 1592, 191 L. Ed. 2d 511 (2015) (“The Act “was drawn with meticulous regard for the continued exercise of state power.”).

B. Any Rule Should Incorporate the Idea of “Cooperative Federalism.”

FERC should approach this rulemaking through a model of cooperative federalism, which the United States Supreme Court has described as a program “that allows the States, within limits established by federal minimum standards, to enact and administer their own regulatory programs, structured to meet their own particular needs.”⁹ In New Mexico, the Legislature has entrusted the NMPRC with safeguarding retail affordability, overseeing resource planning and siting, and implementing landmark state policies such as the Energy Transition Act and Grid Modernization Act. A cooperative-federalism approach ensures that federal rules establish consistent national baselines while still allowing New Mexico to administer its own retail regulatory framework, reflect local conditions, and advance state policy priorities without displacement by federal regulation.

C. Comments on the ANOPR’s Principles for Reform.

Regarding the proposed minimum of 20 MW, this threshold may be too low at this time of an extremely large number of load requests. FERC should consider a larger threshold, and should consider if this threshold compliments, or conflicts with, similar initiatives being pursued by RTOs. The NMPRC suggests starting with a minimum threshold of 50 MW.

In line with our previous comments about a state’s ability to regulate retail sales, any approval process for hybrid facilities should allow states the same discretion they currently have over new generation.

⁹ *FERC v. Mississippi*, 456 U.S. 742, 767, 102 S. Ct. 2126, 2142, 72 L. Ed. 2d 532 (1982).

Finally, implementing these principles as specific rules that preserve the authority of states will likely require some discussion among the parties involved. The NMPRC looks forward to being a part of that conversation as these rules develop.

V. Conclusion

The New Mexico Public Regulation Commission recognizes that the rapid emergence of large loads is reshaping the electric system in ways that require coordinated national attention and strong state leadership. While the challenge is widespread, its consequences—on system reliability, customer costs, and long-term resource planning—are felt most directly by local communities within the states that oversee retail service. A federal framework that aligns with the Federal Power Act’s allocation of responsibilities and also respects states’ authority to regulate is therefore essential. New Mexico urges FERC to build its final rule in collaboration with state regulators, who are uniquely positioned to understand and manage local conditions, rather than viewing state authority as a barrier. The New Mexico Public Regulation Commission offers these comments in that spirit.

Respectfully Submitted,

THE NEW MEXICO PUBLIC REGULATION COMMISSION

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